

BEFORE THE STATE BOARD OF LICENSED PROFESSIONAL COUNSELOR
EXAMINERS

STATE OF COLORADO

Case No. 2005003232

STIPULATION AND FINAL AGENCY ORDER

IN THE MATTER OF DISCIPLINARY PROCEEDINGS REGARDING THE
LICENSE TO PRACTICE PROFESSIONAL COUNSELING IN THE STATE OF
COLORADO OF KAREN WALLACE F/K/A KAREN GRIGG, LPC, LICENSE
NO. 1405,

RESPONDENT.

IT IS HEREBY STIPULATED by and between the State Board of Licensed Professional Counselor Examiners (the "Board") and Karen Wallace f/k/a Karen Grigg, LPC ("Respondent") as follows:

1. The Board has jurisdiction over the person of Respondent and the subject matter of this stipulation.
2. Respondent was licensed as a professional counselor in the State of Colorado at all relevant times herein and is now so licensed.
3. On or about March 14, 2005, the Board received a complaint that alleged Respondent practiced below generally accepted standards of practice.
4. Following investigation of the complaint, the board determined that reasonable grounds existed to refer this matter for disciplinary proceedings.
5. The Board asserts and the Respondent agrees that she committed the following violations:
 - a. Respondent entered into professional and therapeutic relationships as part of her practice of professional counseling to provide clients with treatment as defined in 12-43-601, C.R.S.
 - b. During the course of treating clients, Respondent acted in a manner that did not meet the generally accepted standards of practice in violation of sections 12-43-222(1)(g), (h) and (i);

6. The statutory authority of the Board is as follows:

12-43-222. Prohibited activities – related provisions. (1) A person licensed, registered, or regulated under part 3, 4, 5, 6, or 7 of this article is in violation of this article if such person:

(g) Has acted or failed to act in a manner that does not meet the generally accepted standards of the professional discipline under which such person practices. A certified copy of a malpractice judgment of a court of competent jurisdiction shall be conclusive evidence of such act or omission, but evidence of such act or omission shall not be limited to a malpractice judgment.

(h) Has performed services outside of such person's area of training, experience, or competence;

(i) Has maintained relationships with clients that are likely to impair such person's professional judgment or increase the risk of client exploitation, such as treating employees, supervisees, close colleagues, or relatives;

7. By virtue of the admissions in paragraph 5, Respondent is subject to the following disciplinary sanction that the Board believes necessary to protect the public health, safety, and welfare.

8. Respondent's license to practice is hereby placed on probation for a minimum of three (3) years commencing from the effective date of this Order and until Respondent has complied with the terms and conditions of this Order. During the probationary period, Respondent shall be bound by the terms and restrictions set forth in this Order.

9. Each year during the term of probation, Respondent must provide the Board with the name of her supervisor, and a copy of her annual performance review.

10. During the period of probation, Respondent must successfully complete at least twenty (20) hours each year of Board approved, professional continuing education courses in the areas of boundaries, dual relationships, jurisprudence, and diagnosis/assessment of borderline personality disorders. Respondent shall obtain Board approval of the courses prior to enrolling in each course. Upon completion of a course, the provider is to mail to the Board a certificate of completion.

11. If Respondent seeks to return to private practice during her probation term, Respondent will submit to a practice evaluation conducted by a Board-approved

evaluator. The results of the evaluation will be submitted to the Board for consideration. The practice evaluation shall examine all aspects of Respondent's proposed practice and her qualifications and ability to practice in accordance with generally accepted standards of practice, with skill and safety for clients and to determine whether she has the necessary qualifications, current ability, and competence to practice.

12. Respondent agrees to practice under a term of probation as set out below and may not resume private practice until a satisfactory practice evaluation has been accepted by the Board and a Board-approved practice monitor is in place.

13. Respondent agrees to be bound by the terms and restrictions set forth below.

14. During the term of private practice probation, Respondent's practice will be monitored by a practice monitor. Prior to establishing a private practice, Respondent shall nominate, in writing, three proposed practice monitors for the Board's approval. Respondent shall include for consideration a current curriculum vita of each proposed monitor and a commitment letter stating that s/he has read this Order and understands and agrees to perform the obligations set forth herein. The practice monitor shall meet the following criteria:

- a. The practice monitor shall be a licensed, certified, or listed, currently practicing mental health provider in the State of Colorado and shall have no record of discipline.
- b. It is recommended that the practice monitor shall have a minimum of five years experience.
- c. The practice monitor shall have no current or past financial or personal interest in Respondent or Respondent's practice. This limitation excludes former employees and business associates.
- d. Respondent or the practice monitor may terminate the monitoring relationship on written notice to the other and the Board not less than 60 days before the date of termination. The notice shall state the reason for the termination. Respondent shall immediately initiate efforts to obtain another Board approved practice monitor, who shall conduct her/his monitoring and report to the Board in accordance with this Order.

15. The following terms and conditions shall apply with regard to the practice monitoring:

- a. After the Board's written approval of the practice monitor, Respondent and the practice monitor shall enter into a written contract for monitoring. The practice monitor shall provide a copy of the written contract to the Board as a part of his/her first report to the Board. The contract must contain a provision stating that the practice monitor has received a copy of this Order, of the complaint and responsive

documents, and of the practice evaluation; has read these documents; and understands the duties and responsibilities s/he is undertaking as Respondent's practice monitor. The practice monitor shall assure that a written notification is provided to each client informing the client of the name, address, and telephone number of the practice monitor. This written notification may be provided in a mandatory disclosure statement.

- b. The practice monitoring shall consist of individual in person (face-to-face) contact that occurs at least one hour or such longer time as the practice monitor deems necessary for every 20 hours of client contact, or once a week. During the practice monitoring sessions, Respondent and her practice monitor must review and discuss each of Respondent's active cases at least once every month to allow the practice monitor to determine whether Respondent is practicing licensed professional counseling in accordance with generally accepted standards of practice and will skill and safety for her clients.
- c. The practice monitor shall submit written reports to report the result of the practice monitoring. The practice monitor shall submit the written reports to the Board on the fifth day of the first full month after the Board approves the practice monitor. All subsequent reports shall be submitted on the fifth day of each month for the first twelve reports. After the submission of the first twelve (12) reports, unless otherwise ordered by the Board, the practice monitor shall submit his/her reports by the fifth day of every third month (i.e. on a quarterly basis) until the practice monitoring is completed.
- d. If at any time the Board has questions or concerns regarding the monitoring, the practice monitor agrees to attend any Board meeting necessary to address the Board's concerns. The Board will give the practice monitor thirty (30) days notice prior to requiring the practice monitor's attendance at the Board meeting.
- e. If at any time the practice monitor believes Respondent is not in compliance with this Order, is unable to practice with skill and with safety to his patients or has committed a violation of the practice act or rules and regulations, the practice monitor shall immediately notify the Board, in writing, with an explanation of the reasons for such a conclusion. A copy will be sent to Respondent. Upon submission of such a report, Respondent shall immediately cease the practice of licensed professional counseling.
- f. Respondent shall make efforts to assure that all reports by the practice monitor are complete and timely submitted to the Board. If, in the Board's judgment, the practice monitor fails to perform the function specified by this order, the Board may require a new practice monitor

to assume responsibilities herein. If for any reason the practice monitor ceases to perform the functions specified in this Order, Respondent shall nominate a new practice monitor to the Board within thirty (30) days.

16. The following terms and conditions apply to this Order:

- a. Respondent will strictly observe the prohibitions set forth in § 12-43-222, C.R.S. and assure that she does not engage in any activities that are prohibited activities or fall below generally accepted standards of practice.
- b. Respondent shall not supervise or consult with other mental health providers for the purpose of those persons providing psychotherapy, unless such supervision or consultation is monitored in accordance with this Order
- c. All expenses associated with the practice evaluation, therapy evaluation, therapy, practice monitoring, education and any other expenses incurred in fulfilling the terms of this Order shall be borne by Respondent.
- d. As part of this Order, Respondent agrees to provide access to her medical and psychological records and information and explicitly waives her right to maintain confidentiality of her medical and psychological records and information provided to the practice evaluator/monitor if the practice evaluator/monitor determines that she is not practicing licensed professional counseling in accordance with generally accepted standards of practice or has any condition which renders her unable to treat clients with skill and safety or which may endanger the health or safety of persons under her care. This waiver only applies to material sent directly to the Board and the Board does not have authority to disseminate this information to any individual other than the Board's attorneys.
- e. In the event Respondent relocates to another state at any time during the probationary period, Respondent shall notify the Director of the change of address within 30 days of the effective date of such change.
- f. The period of probation is tolled during any time that Respondent is not practicing in this state, and such period of probation shall resume at such time as Respondent resumes practicing in accordance with this Order in the State of Colorado.
- g. Should Respondent return to private practice, credit towards the period of probation will be given only for the period of time during which Respondent is practicing as a licensed professional counselor

in Colorado, is being monitored by a practice monitor, and is in full compliance with all terms of this Order.

17. Respondent is fully aware of and understands the right to receive a formal notice of hearing and charges and to have a formal disciplinary hearing, pursuant to § 12-43-224, C.R.S., and hereby waives those rights. Further, Respondent also acknowledges this waiver constitutes a waiver of all rights to appeal in this matter.

18. Respondent enters this Stipulation and Final Agency Order voluntarily and without coercion, after an opportunity to consult with counsel and with full understanding of the legal consequences of this Order and the right to formal hearing on all matters herein.

19. This Order of the Board entered pursuant to Stipulation shall constitute a Board order for purposes of § 12-43-222, C.R.S. and shall have the same force and effect as an order entered after a formal disciplinary hearing pursuant to § 12-43-224, C.R.S.

20. This Order shall become effective when accepted and signed on behalf of the Board.

21. This Order shall be a public record at all times in the custody of the Board.

RESPONDENT

Karen Wallace, LPC
Karen Wallace f/k/a Karen Grigg, LPC
#1405
102 Alamo Drive
Durango, CO 81301

**COLORADO STATE BOARD OF
LICENSED PROFESSIONAL EXAMINERS**

Cindy Musil
Cindy J. Musil, President,
State Board of Licensed Professional Counselor
Examiners

Effective Date: This 5th day of
October 2005.